

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) FMM — Semester II Examination, 2023-24

Paper No. BCF-125: Fundamentals of Banking

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. All questions carry equal marks (14 marks each).

Question 1. Explain the phase-wise development of banking in India. Discuss the functions and importance of a bank in a developing economy. [14]

OR

Define the terms 'Bank', 'Banking', and 'Banking Companies'. Describe the various types of banks in India. [14]

Question 2. Who is a customer? Discuss the various types of relationships between a customer and a banker. When is this relationship terminated? [14]

OR

Explain the credit creation process of a commercial bank with suitable examples. [14]

Question 3. Elaborate the concept of "Priority Sector Lending". What are the different categories of the priority sector? Briefly describe its history. [14]

OR

What is the charging of securities? Discuss the various types of mortgages along with their features. Differentiate between mortgage and pledge. [14]

Question 4. Explain the credit control process of a Central Bank. Give a brief history of the Reserve Bank of India. [14]

OR

Define Central Bank. What are the prohibitory functions of the Reserve Bank of India? Throw light on the role of the RBI in the regulation of banking. [14]

Question 5. What do you mean by a Development Bank? Explain the role of development banks in the context of the Indian economy. [14]

OR

Write brief notes on any two of the following: [14]

- (a) NABARD
- (b) IDBI
- (c) EXIM Bank

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